Rotman

RITCxDublin Training Session

Liability Trading Case



Rotman School of Management
UNIVERSITY OF TORONTO

Agenda

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Section	Time
Resource Page	**10 min**
RIT	**45 min**
Platform	25 min
API Connection	20 min
Liability Trading Case	**30 min**
Q&A	**5 min**

RESOURCE PAGE

Practice session and server

Windows / Mac setup

How to connect

How scoring works

Software Setup

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Windows

Desktop application

Download the RIT User Application

Run the installer, then open RIT.

Server: flserver.rotman.utoronto.ca

Port: 16510



Mac

Browser or Mac app

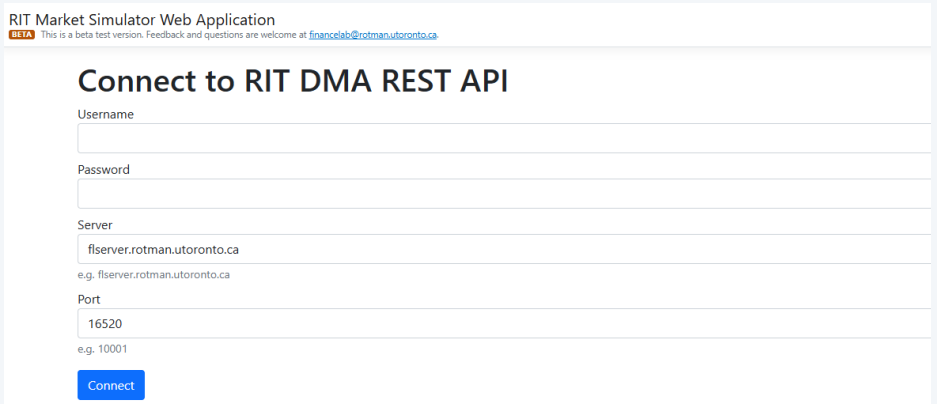
Browser: client.rotmanrit.com:14980

Or download the Apple Silicon / Intel app.

Unzip → drag to Applications → open.

Server: flserver.rotman.utoronto.ca

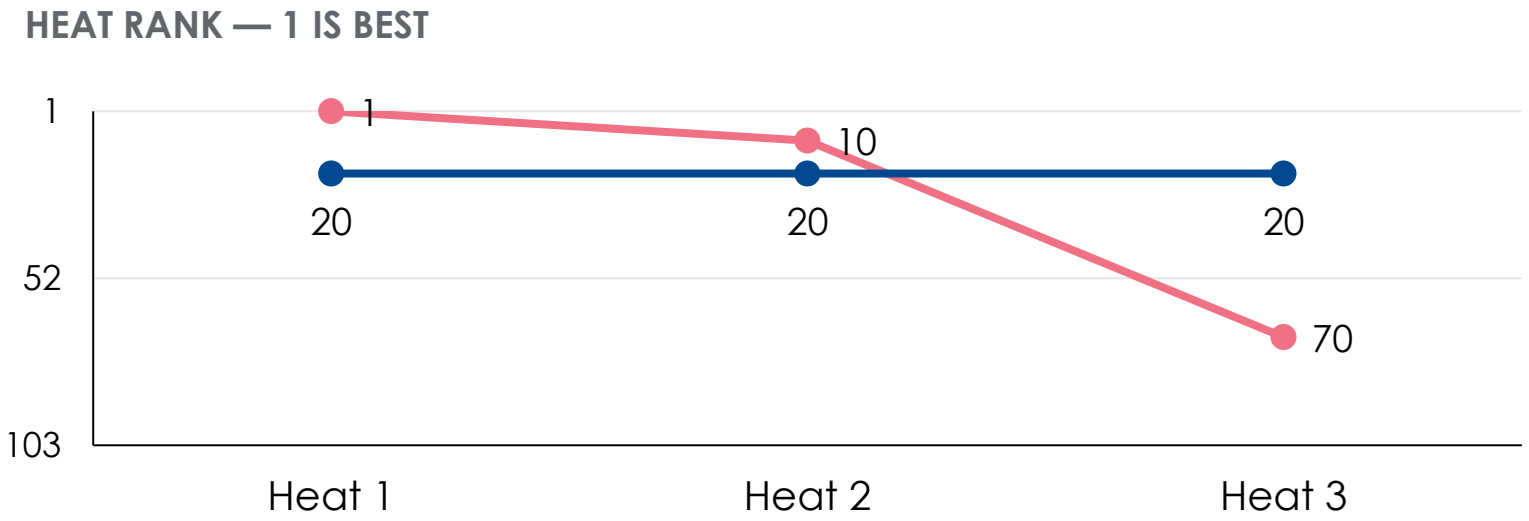
Port: 16520



Scoring

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134 teams: compare these two teams across three example heats.



AVERAGE HEAT RANK

Team A: 27

Team B: 20

Team B ranks higher.

Lower average is better.

Rank each heat → Average the ranks → Rank each case

RIT User Application

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Read the market, place an instruction, check the result

PORTFOLIO

What do I own?

Position, cost, last, bid and ask.

MARKET DEPTH

What can trade now?

Price, quantity and priority.

ORDER ENTRY / BLOTTER

What did I instruct?

Market / limit; live, partial, filled, cancelled.

TRADER INFO / LOG

What changed?

Limits, P&L, transaction costs; save workspace.

API connection

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DMA REST API

Python → DMA-enabled simulation server

No desktop client bridge

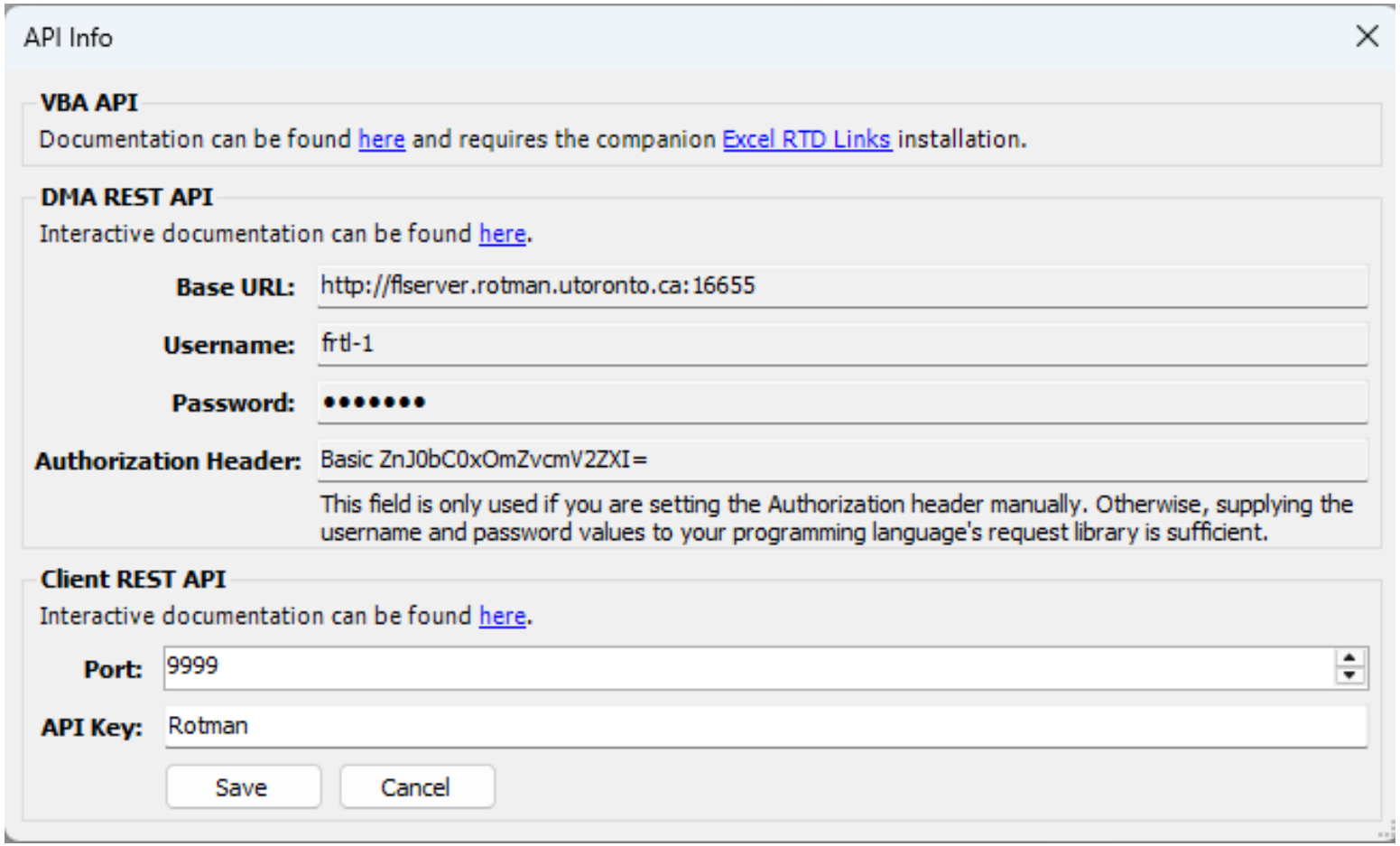
DMA endpoint + trader login

CLIENT REST API

Python → local RIT client → simulation server

Client open and logged in

Local port + matching API key



Liability Trading Case

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Why not sell the whole block directly into the market?

A large sale can move prices through the depth it uses and the signal it sends.

PRICE IMPACT: DEPTH

The sale uses up the bids

Remaining shares reach lower prices.

PRICE IMPACT: SIGNALS

“Is there more selling to come?”

Other traders may lower bids or reduce size.

Client sells the block to you → You decide how to sell it into the market

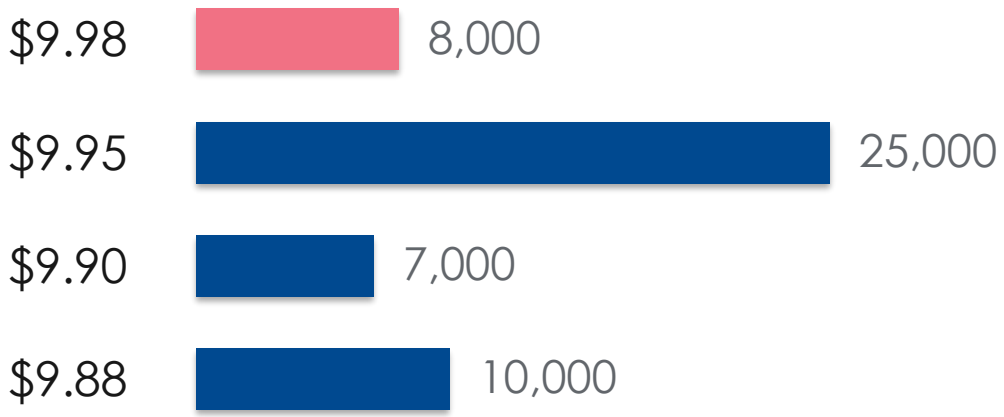
Liability Trading Case

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The first share and the whole block have different prices

50,000 CRZY at $9.90: the best bid is only the start of the exit.

BIDS USED TO SELL 50,000 SHARES



Bar length = shares available at that price

FIRST SHARE → **VWAP**

$9.98 → $9.9338

Apparent edge → depth-adjusted edge

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Trading faster and waiting longer carry different risks

SELL QUICKLY



More depth consumed now.

Less time exposed to price moves.

↔

SELL OVER TIME



Liquidity may replenish.

Inventory remains at market risk while waiting.

Liability Trading Case

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Trading rules and fines: finish the tender trade

Your role is to unwind accepted tenders.

FRONT-RUNNING

Trading ahead of a tender

Trying to profit from its expected market impact.

Lead to penalties.

UNRELATED SPECULATION

Taking an extra price bet

Buying extra shares to bet on a price rise.

Lead to penalties.

AT THE CLOSE

Leaving a long or short position

Residual inventory keeps you exposed to price moves.

A nonzero position is penalized.

Closing check: zero positions + no live orders

Q&A

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Live practice: November 10th | 6-7 p.m. GMT